

Run-off Operations

Source: <https://www.prarulebook.co.uk/prarules/run-off-operations-solvency-ii/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:51

1

Application and Definitions

1.1

The changes to this rule are effective from 23:00 on 31/12/2020.

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_ ; and
2. (2) in accordance with 5, _third country branch undertakings_ except:
 1. (a) _Swiss general insurers_ ; and
 2. (b) _SRO insurers._

1.2

In this Part, the following definitions shall apply:

material transaction

means a transaction (when aggregated with any similar transactions) in which:

1. (1) the price actually paid or received for the transfer of assets or liabilities or the performance of services; or
2. (2) the price which would have been paid or received had that transaction been negotiated at arm's length between unconnected parties;
 1. exceeds:
 2. (a) in the case of a _firm_ which carries on _long-term insurance business_ , but not _general insurance business_ , the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _long-term insurance business_ , excluding _linked long-term liabilities_ and net of _reinsurance_ ceded;
 3. (b) in the case of a _firm_ which carries on _general insurance business_ , but not _long-term insurance business_ , the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _general insurance business_ , net of _reinsurance_ ceded; or
 4. (c) in the case of a _firm_ which carries on both _long-term insurance business_ and _general insurance business_ :
 1. (i) where the transaction is in connection with the _firm's_ _long-term insurance business_ , the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _long-term insurance business_ , excluding _linked long-term liabilities_ and net of _reinsurance_ ceded; and
 2. (ii) in all other cases, the sum of £18,000 and 5% of the _firm's_ liabilities arising from its _general insurance business_ , net of _reinsurance_ ceded;
 3. and
 5. (d) in the case of _third country branch undertakings_ , a reference to the ? _firm's liabilities_ ? is to be interpreted as a reference only to the liabilities relevant to the operations effected by the _third country branch_.

scheme of operations

means a scheme which:

1. (1) describes the nature of the risks which the _insurer_ is underwriting, or intends to underwrite, and the guiding principles which it intends to follow in reinsuring or covering those risks; and
2. (2) contains the information required under 3.1.

2

Ceasing to Effect Contracts of Insurance

2.1

If a _firm_ decides to cease to effect new _contracts of insurance_ in respect of the whole of its _insurance business_ , it must, within 28 days of that decision, submit a run-off plan to the _PRA_ including:

1. (1) a _scheme of operations_ , in accordance with 3; and
2. (2) an explanation of how, or to what extent, all _liabilities to policyholders_ will be met in full as they fall due.

2.2

For the purposes of 2.1, a new _contract of insurance_ excludes contracts effected under a term in a subsisting _contract of insurance_.

2.3

A _third country branch undertaking_ must apply the requirements in 2.1 and 2.2 taking account only of the operations effected by the _third country branch_.

3

Content of a Scheme of Operations

3.1

In accordance with 3.2, a _scheme of operations_ must:

1. (1) describe the _firm's_ run-off strategy;
2. (2) include a description of the business underwritten by the _firm_ ;
3. (3) include financial projections (including appropriate scenarios and stress-tests) as follows:
 1. (a) a forecast summary profit and loss account in accordance with 3.3;
 2. (b) a forecast summary balance sheet in accordance with 3.4; and
 3. (c) for a firm other than a third country branch undertaking, forecast _MCR_ and _SCR_ at the end of each financial year or part financial year;
4. (4) as at the end of each financial year which falls (in whole or part) within the period to which the _scheme of operations_ relates:
 1. (a) describe the assumptions which underlie those forecasts and the reasons for adopting those assumptions; and
 2. (b) identify any _material transactions_ proposed to be entered into or carried out with, or in respect of, any associate or any other person with whom the _firm_ has _close links_ ; and
5. (5) cover the run-off period until all _liabilities to policyholders_ are met.

3.2

The information required by 3.1 must:

1. (1) for a firm other than a third country branch undertaking, reflect the nature and content of the rules relating to _eligible own funds_ applicable to a _firm_ ;
2. (1A) for a third country branch undertaking, reflect the nature and content of the rules relating to the valuation of assets and liabilities applicable to a third country branch undertaking;
3. (2) where a _firm_ carries on both _long-term insurance business_ and _general insurance business_ , be separated for _long-term insurance business_ and _general insurance business_ ; and
4. (3) in the case of _third country branch undertakings_, take account only of matters relevant to the operations effected by the _third country branch_.

3.3

The forecast summary profit and loss account referred to in 3.1(3)(a) must contain the following information:

1. (1) _premiums_ and claims (gross and net of _reinsurance_) analysed by accounting _class_ of _insurance business_ ;
2. (2) investment return;
3. (3) expenses;
4. (4) other charges and income;
5. (5) taxation; and
6. (6) dividends paid and accrued.

3.4

The forecast summary balance sheet referred to in 3.1(3)(b) must contain the following information:

1. (1) investments analysed by type;
2. (2) assets held to cover _linked long-term liabilities_ ;
3. (3) other assets and liabilities separately identifying cash at bank and in hand;
4. (4) capital and reserves analysed into called up share capital or equivalent funds, share premium account, revaluation reserve, other reserves and profit and loss account;
5. (5) subordinated liabilities;
6. (6) the fund for future appropriations;
7. (7) _technical provisions_ gross and net of _reinsurance_ analysed by accounting _class_ of _insurance business_ and separately identifying the provision for _linked long-term liabilities_ , _unearned premiums_ , _unexpired risks_ and equalisation; and
8. (8) other liabilities and credits.

4

Submitted Schemes of Operation

4.1

A _firm_ which has submitted a _scheme of operations_ to the _PRA_ must during the period covered by that _scheme of operations_ :

1. (1) notify the _PRA_ at least 28 days before entering into or carrying out any _material transaction_ with, or in respect

of, an associate or any other _person_ with whom the _firm_ has _close links_ , unless that transaction is in accordance with a _scheme of operations_ which has been submitted to the _PRA_ ;

2. (2) notify the _PRA_ promptly of any matter which has happened or is likely to happen and which represents a significant departure from the _scheme of operations_ and either:

1. (a) explain the nature of the departure and the reasons for it and provide revised forecast financial information in 3.1(3) in the _scheme of operations_ for its remaining term; or

2. (b) include an amended _scheme of operations_ and explain the amendments and the reasons for them.

5

Third Country Branches

5.1

This Chapter applies to _third country branch undertakings._

5.2

In this Part, reference to ?technical provisions? is to be interpreted as a reference to the provisions referred to in Third Country Branches 6.1.